

INTRODUCTION TO FINANCIAL STATEMENT FRAUD



Financial Statement Fraud

—So far in this course, we have assumed that accounting is done appropriately according to GAAP

—However, in the real world, financial statement fraud is a substantial issue

- A recent study suggests that accounting fraud may be occurring at approximately 12% of publicly traded companies! (Cade et al. 2025)

—The goals of this lecture are:

- (1) To define financial statement fraud
- (2) To understand who commits fraud and why
- (3) To identify common methods of fraudulently misstating the financial statements
- (4) To provide you with some basic analytics that can be red flags for financial statement fraud



1. DEFINING FINANCIAL STATEMENT FRAUD



Financial Statement Fraud

—Financial Statement Fraud involves

1. A violation of Generally Accepted Accounting Principles (GAAP)
 - E.g., U.S. GAAP promoted by the Financial Accounting Standards Board or International Financial Reporting Standards (IFRS) promoted by the International Accounting Standards Board (IASB)
2. That materially affects financial information
 - Material information is that which would change the decision of a stakeholder
3. And that is either intentional or due to gross negligence (i.e., extreme carelessness)



Financial Statement Fraud

- It is important to know that there can also be financial misreporting which does not count as financial statement fraud because it either
 - (a) is allowed by GAAP or
 - (b) does not materially affect financial information
- This *misreporting* may matter to stakeholders, even though it is not fraud
- Non-fraud misreporting examples:
 - A lazy manager makes up an amount for a bad debt reserve instead of using the process required by GAAP. As long as the amount is small and would not materially affect stakeholders, this is not technically fraud



Financial Statement Fraud

—Non-fraud misreporting examples

- **Real earnings management** – changing a firm's real behaviors to affect a financial reporting outcome, while reporting everything according to GAAP. For example:
 - Cutting advertising spending in a period to increase earnings and beat a target
 - Asking a customer to put off their order until the next month so that the sale will affect next month's metrics
- Real earnings management does not violate GAAP, so it is not considered fraud. Nevertheless, it often has detrimental impacts on a business and can materially harm corporate stakeholders



Financial Statement Fraud

—Timing Differences

- Channel stuffing

- Channel stuffing involves offering substantial discounts or extended payment terms to customers, usually at the end of a period, to encourage them to overbuy to meet sales or earnings targets
- This is costly because the discounts mean lower revenue and customers who overbuy in one period will usually buy less the next period
- In itself, channel stuffing is not fraud, however, it is a form of real earnings management that should be viewed suspiciously



Accrual-Based EM: Revenue Timing

Setup: A firm builds a hospital under a €90M contract (2024–2026). Customer pays €30M/year. IFRS 15 requires choosing a method to measure progress toward completion.

Option 1 — Input Method

Progress measured by: costs incurred

€45M

Year 1 reported revenue

(50% of costs front-loaded in Y1 → 50% recognised)

Cash received: €30M

NI – CFO gap: +€15M (earnings > cash)

GAAP status: ✓ Compliant (aggressive)

VS

Option 2 — Output Method

Progress measured by: milestones signed off

€0

Year 1 reported revenue

(No milestone signed off in Y1 → no revenue recognised)

Cash received: €30M

NI – CFO gap: –€30M (cash > earnings)

GAAP status: ✓ Compliant (conservative)

2. UNDERSTANDING WHO COMMITS FRAUD AND WHY



Financial Statement Fraud

—Who commits financial statement fraud?

- Senior management (e.g., the CEO or CFO)
- Lower level managers
 - A manager of a branch or division may manipulate financial reporting to make themselves look good for internal evaluation, but this results in the company's financial statements being materially misstated
- Corporate thieves
 - Someone who manipulates financial records to conceal the theft of cash or other assets may also unintentionally end up misstating the company's financial information
- Criminals
 - Criminals can use false financial information to take out fraudulent loans from banks or to hype up a stock or other investment as part of a pump-and-dump scheme



Financial Statement Fraud

—Why do people commit financial statement fraud?

- At the core of the fraud is usually one of three driving factors (which may overlap):
 - The fraudster wants to increase their income/wealth
 - The fraudster wants to hide something, like non-financial statement fraud, poor performance, or bad business decisions
 - The fraudster wants to maintain personal status/ego or control



Financial Statement Fraud

—Financial statement fraud to increase income/wealth

- Many managers are given bonuses, stock grants, and/or stock option grants to encourage them to act in the best interests of the company
 - However, when the bonus/grant is tied to reaching a certain amount of revenue, profits, etc., then managers who are not able to meet these targets easily may be tempted to manipulate financials to get their bonus/grant
 - For stock price bonuses (or for increasing the value of stock holdings or stock options), managers may also manipulate the financials to fool investors into overvaluing the company
 - This behavior is more likely when restrictions on selling stock/exercising options expire



Financial Statement Fraud

—Financial statement fraud to increase income/wealth

- To maximize company value (which may be for stockholders or for their own stock and option holdings), managers may manipulate financials to look *better* when
 - The company needs additional capital and reporting better performance will help the company get the additional capital more cheaply (e.g., lower interest rates on debt or higher prices paid on stock sales)
 - This can also help when they are seeking more trade credit from suppliers
 - The company is looking to acquire another company and will pay for the acquisition using their own stock



Financial Statement Fraud

—Financial statement fraud to increase income/wealth

- To maximize company value (which may be for stockholders or for their own stock and option holdings), managers may manipulate financials to look *better* when
 - The company may be acquired and management wants to acquirer to pay as much as possible
 - The company has debt subject to performance covenants
 - Performance covenants require the borrower to maintain a certain level of performance
 - Failure to meet that level can result in the lender gaining some control rights over management decisions, increases in interest rates, or even immediate loan repayment



Financial Statement Fraud

—Financial statement fraud to increase income/wealth

- To maximize company value (which may be for stockholders or for their own stock and option holdings), managers may manipulate financials to look *better* when
 - The company can use the better performance to gain unique business opportunities, such as joint ventures or access to picky customers or suppliers
 - Better performance can intimidate competitors



Financial Statement Fraud

—Financial statement fraud to increase income/wealth

- To maximize company value (which may be for stockholders or for their own stock and option holdings), managers may manipulate financials to look *worse* when
 - Worse performance can make their industry look less promising, and thus deter new competitors from entering the market
 - Worse performance can hide unique strategies or benefits from competitors, allowing the company more time to capitalize on the strategy/benefit
 - Worse performance can temporarily lower the value of a company before a partnership dispute or divorce proceeding in a family firm, resulting in a smaller payout and more money retained for the future



Financial Statement Fraud

—Financial statement fraud to increase income/wealth

- To maximize company value (which may be for stockholders or for their own stock and option holdings), managers may manipulate financials to look *worse* when
 - Worse performance can hide aggressive tax planning or tax evasion
 - Tax authorities will compare financial statement income to income tax returns to look for large discrepancies that can indicate tax avoiders/evaders they should target



Financial Statement Fraud

—Financial statement fraud to increase income/wealth

- Cookie jar reserving

- When managers with bonus/grant targets are either (a) able to easily meet and exceed these targets or (b) know that they will not be able to meet these targets, then they may manipulate financials to *understate* performance
- They typically do this by *overstating* reserve accounts, which are accruals designed to predict future bad outcomes
 - E.g., bad debt reserves that predict customers not paying
- Then, in the future, the managers can write off these reserves, resulting in additional positive income that can help them hit a difficult future target



Financial Statement Fraud

—Financial statement fraud to increase income/wealth

- Smoothing

- Cookie jar reserving and upwards earnings management in different time periods can be part of a smoothing strategy, where managers focus on reporting stable earnings (or other accounts) over time (perhaps with a small upward trend)
- Smoothing can make earnings appear less risky/volatile than they truly are
- Smoothing also can help keep bonus/grant targets more stable/achievable
- Smoothing also makes financial reporting more stable over time and can help stakeholders by communicating information about managers' long-run expectations (Demeré et al. 2024)



Financial Statement Fraud

—Financial statement fraud to increase income/wealth

- Big baths

- Similar to cookie jar reserving, big baths involve making financial performance look really bad in one period, so that managers can (a) report better performance in future periods (through accrual reversals, reserve releases, smaller impairments, etc.) and (b) convince target setters (usually the board of directors or compensation committee) to set lower, easier-to-beat targets
- Big baths are more common when managers are new, as they can blame the previous manager for the big negative performance hit
- They are also common when bad events occur that can take the blame (e.g., hurricanes, earthquakes, macroeconomic instability, Covid-19 pandemic)



Financial Statement Fraud

—Financial statement fraud to increase income/wealth

- Delaying good or bad news for insider trading
 - Managers can also misstate financials by omitting some good or bad performance news so they can profitably trade on it
 - E.g., A CFO knows that a large order of new goods was just delivered to a customer. The CFO intentionally does not record the sale this period, even though GAAP would require doing so. The CFO then buys a bunch of company stock and, when the sale is reported in the next period and the stock price increases, the CFO sells the stock for a large gain
 - If the CFO bought right when the sale occurred, the trade is more suspicious to insider trading regulators. The delay gives the CFO plausible time away from the event to justify buying without an insider trading charge



Financial Statement Fraud

—Financial statement fraud to hide something/maintain status and control

- Bad decisions or continuous poor performance can severely hurt a manager's reputation, and thus their social standing
- Managers who are more ego-prone, who value the opinions of others highly, or who have narcissistic personalities may be particularly threatened by concerns that poor performance will hurt their reputation, and thus may be more likely to fraudulently increase reported performance
- Bad decisions and poor performance can also result in managers being fired, demoted, or forced to accept additional restrictions and oversight



Non-Financial Motive: Ego and Narcissism

—Research links narcissistic CEO traits to higher earnings management and a greater probability of fraud

Research Evidence

Measuring CEO narcissism

Chatterjee & Hambrick (2007, ASQ) · Ham, Seybert & Wang (2017, JFR)

- Signature size — larger handwriting correlates with narcissism
- CEO pay gap — ratio of CEO pay to second-highest exec's pay
- First-person pronouns — frequency of 'I' vs. 'we' in shareholder letters
- Photo size and prominence in the annual report

Narcissism and earnings management

Ham, Seybert & Wang (2017) · Buchholz, Lopatta & Maas (2020, EAR)

- Larger signatures → significantly higher discretionary accruals
- Narcissistic CEOs more likely to just beat earnings targets — classic EM signal
- Effect strongest when board monitoring is weakest

Narcissism and fraud / enforcement

Rijsenbilt & Commandeur (2013, JBE)

- Composite narcissism score positively predicts SEC enforcement actions
- Higher rates of financial restatement announcements

Financial Statement Fraud

—Financial statement fraud to maintain control

- Fraudsters may also commit fraud
 - To ensure that they do not violate performance covenants on debt that would allow lenders to constrain their behavior
 - To try to look good and steady so that the board of directors will not feel they need to provide as much oversight
 - To try to avoid a corporate takeover by an investment group that may want to put additional constraints on them or even replace them
 - This could involve looking bad to avoid attention, but more commonly involves looking good to inflate stock prices and make purchasing the stock needed for the takeover more expensive



3. IDENTIFYING COMMON METHODS FOR COMMITTING FINANCIAL STATEMENT FRAUD



Financial Statement Fraud

- There are a number of schemes that can be used to commit financial statement fraud
- These schemes can involve anything from using inappropriate accounting methods to simply making up and reporting fake financial data
- While they often target financial numbers, they can also affect qualitative disclosures



Financial Statement Fraud

—Fictitious Revenues

- These schemes involve recording sales that did not occur or did not meet the criteria for recording. For example:
 - Recording a fake sale to a customer
 - Companies may reverse out these sales in the next period to remove them from the books if they won't have a sales shortfall in that period
 - Can also record a fake credit sale in one period that is written off as a bad debt the next period
 - Altering the amounts on invoices previously sent to customers or creating a second invoice with inflated amounts that is used to record the sale
 - Classifying non-revenue payments as revenues (e.g., contributions from shareholders)



Financial Statement Fraud

—Timing Differences

- Timing schemes often involve trying to prematurely record revenues. For example:
 - Shipping goods to customers for which the price is not yet fixed, and recording this as a revenue
 - Treating consignments, where the company retains ownership of the goods at the customer site, as sales
 - Keeping the company's books open for extra days, so extra sales can be recorded
 - E.g., Closing the 2024 books on 10 January 2025



Financial Statement Fraud

—Timing Differences

- The timing of expenses can also be misreported, for example:
 - Going ahead and expensing supplies that have not been used yet or inventory that has not been sold yet
 - This includes writing down/off inventory as having lost value when it has not
 - Waiting until the next period to record wages earned by employees in the current period



Financial Statement Fraud

—Concealed Liabilities and Expenses

- Oftentimes, it is easier to hide a transaction that happened than to record a transaction that did not happen
- The simplest way to conceal liabilities and expenses is to not record them
- Contingent liabilities (e.g., lawsuits and pending government fines) are a commonly concealed liability
 - GAAP requires record a liability and expense for expected payouts, but firms will argue that they will appeal the ruling and win, and thus there is no need to record a liability and expense
- Off-balance-sheet entities (often called variable interest entities (VIEs) or special purpose entities (SPEs)) are another common tool for concealing liabilities
 - E.g., the company borrows funds and then shifts the debt to an off-balance-sheet SPE to hide the debt



Financial Statement Fraud

—Concealed Liabilities and Expenses

- Another way to hide expenses is through improper capitalization
 - E.g., WorldCom paid over \$3 billion in fees to rent bandwidth on phone lines in 2001, which was sold to customers in 2001. However, instead of expensing these fees, they capitalized them as an asset even though there was no future benefit to be provided from the 2001 rental fees!
- This has the benefit of removing expenses from the income statement in the current period while also increasing reported assets!



Financial Statement Fraud

—Improper asset valuation

- Assets are often valued at historical cost
- Despite few assets being recorded at market values, there are still several ways to improperly value assets

—Improper asset valuation examples

- Inventory
 - Failing to write-off or impair bad inventory
 - Reporting fictitious inventory, which can involve falsifying inventory counts, putting empty/dirt-filled boxes in the warehouse and counting them as inventory, etc.



Financial Statement Fraud

—Improper asset valuation examples

- Accounts receivable
 - Failing to write-off bad accounts or record a sufficient allowance for doubtful accounts
 - Recording fictitious accounts receivable on fictitious sales
- Long-term assets
 - Reporting fictitious assets that don't exist
 - Recording an asset that is leased as being owned
 - Failing to impair assets whose value drops
 - This is particularly common when valuation is difficult, such as when impairing goodwill
 - Making inappropriate depreciation assumptions or capitalizing non-asset costs
 - For example, capitalizing interest payments as an asset



Financial Statement Fraud

—Misclassification

- Even when recording all revenues, expenses, assets, and liabilities at appropriate values, companies can fraudulently manipulate how they are classified
- Examples
 - Reporting a long-term asset as a current asset to make the company's current ratio look better
 - Reporting a current liability as a long-term liability to improve the current ratio
 - Reporting some cost of goods sold as general expenses to make gross margins look better
 - Reporting some administrative expenses as research and development costs to make the company look more innovative



Financial Statement Fraud

—Improper disclosures

- While much of the focus on financial statement fraud is on fraud that affects the key financial statements (e.g., balance sheet and income statement), GAAP also requires a lot of additional supplementary disclosures
- Examples
 - Reporting executive compensation and transactions
 - E.g., Tyco failed to report millions of dollars in loans the company gave (and often forgave) to top executives
 - Disclosure by company insiders and key shareholders whenever they buy and sell shares
 - Elon Musk was accused of this behavior when he was trying to buy Twitter



4. BASIC RED FLAGS FOR DETECTING FINANCIAL STATEMENT FRAUD



Financial Statement Fraud

—How do we detect financial statement fraud? Key indicators include:

- Excessive management power
 - Domination of the company by a single person and/or an ineffective board of directors
- Signs of bad corporate culture that show up in company communications
- Bad, risky, or aggressive behaviors by executives in different settings
- Complex organizational structures with unusual lines of authority or strange legal entities
- Heightened pressures to make financials look good (or bad), such as the settings that motivate financial statement fraud we discussed earlier (e.g., debt covenants, stock issuances, executive bonus plans)



Financial Statement Fraud

—Financial Statement Fraud Analytics

- Profits that are much greater than cash flows from operations
 - Big differences between income and cash flows are a key metric that often precedes the discovery of frauds
- Unusual trends in revenues, profitability, assets, or liabilities (or really any accounting line item) relative to industry peers
- Transactions with related parties or special purpose entities
- Lower amounts of impairments/write-offs than industry peers, especially during economic downturns
- Variation in the relationships between fixed asset purchases, fixed asset balances, and depreciation



Financial Statement Fraud

—Financial Statement Fraud Analytics

- Growth in accounts receivable relative to sales
- Growth in accounts payable or inventory relative to cost of goods sold
- Growth in bad debt or return allowances or write-offs
- Large fluctuations in expense accounts across time
- Changes in current assets (or liabilities) relative to long-term assets (or liabilities)



Financial Statement Fraud

- Final warning: No single analytic itself is indicative of fraud, and any single analytic can show a suspicious pattern for perfectly legitimate reasons.
- It is hard to accurately detect financial statement fraud from the outside, which is why the most common way frauds are discovered are when insiders blow the whistle
- Nevertheless, you are now much better positioned to understand the threat of fraud and maybe discover the next major financial statement fraud!



Want to Learn More?

—If you want to learn more, check out Forensic Accounting and Fraud Examination (20984) in the Masters Program!

—Topics Covered Include:

Introduction to Forensic
Fraud Examination

Behavioral Aspects of Fraud
(Psychology and Sociology of
Fraud)

The Forensic Investigation
Process

- Fraud risk management, investigation techniques and processes, E-discovery, evidence gathering, interviewing witnesses and suspects, expert witness testimony, fraud reports

Types of Fraud and Relevant
Controls and Detection
Analytics

- Sales skimming, cash larceny, billing schemes, cheque fraud, payroll fraud, expense reimbursement schemes, asset theft and misappropriation, corruption schemes, financial statement fraud

Additional topics

- Bribery and governmental corruption, greenwashing, tax evasion, money laundering, cybercrime, valuation and insurance fraud



HAVE A GREAT DAY!



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